



CESIM TEACHING NOTE

Sales and Target Microsimulation

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1. Simulation Overview

Introduction

The Cesim **Sales & Target simulation** is an immersive, hands-on business simulation that empowers participants to strategically manage a company's end-to-end sales operations in a dynamic and competitive market. Through decisions related to sales planning, team structure, incentives, training, and process optimization, participants work to enhance sales performance across diverse channels—Modern Trade, Retail, and HORECA—and multiple consumer segments. The simulation encourages analytical thinking, resource prioritization, and strategic alignment, all aimed at maximizing profitability and distribution channel effectiveness in a rapidly evolving business environment.

Learning Objectives

The Sales & Target microsimulation is designed to develop participants' strategic decision-making skills in sales force management. By the end of this simulation, participants will be able to:

- Design and implement effective sales strategies aligned with market needs and consumer preferences
- Optimize sales force composition and structure across multiple distribution channels
- Make data-driven decisions regarding resource allocation, compensation, and sales development
- Evaluate the impact of different sales approaches on financial performance
- Apply sales management theories in a dynamic competitive environment

Target Audience

- Undergraduate business participants (junior/senior level)
- MBA participants focusing on sales management, marketing, or general management
- Executive education participants in sales leadership roles
- Sales managers transitioning to higher leadership positions

Time Required

- 60-90 minutes for individual simulation completion
- 45-60 minutes for guided post-simulation debrief

Case Scenario and Winning Criteria

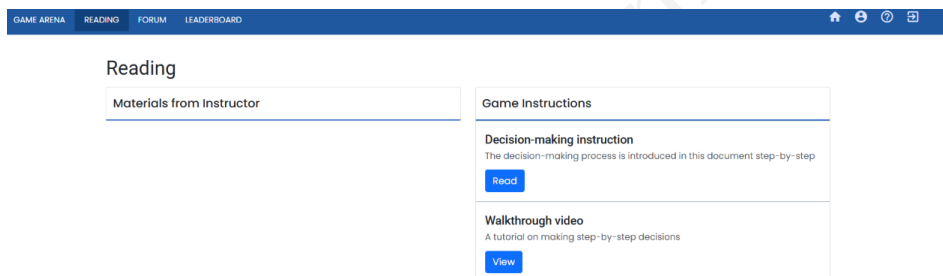
In the Cesim **Sales & Target business simulation**, participants take on the role of sales strategists in a competitive and fast-evolving market environment. They must make strategic decisions about sales force planning, compensation, team composition, and development to effectively reach the target segments while optimizing costs. They have to analyze market data, consumer preferences, and channel dynamics to create a cohesive sales strategy that maximizes company performance. **The ultimate objective is to achieve an operating profit of 5,000K or more while significantly improving overall sales effectiveness across all channels.**

Simulation Structure

The microsimulation is organized into independent rounds, each presenting either consistent scenarios or allowing the instructor to customize market conditions to simulate decision-making challenges throughout the company's growth journey.

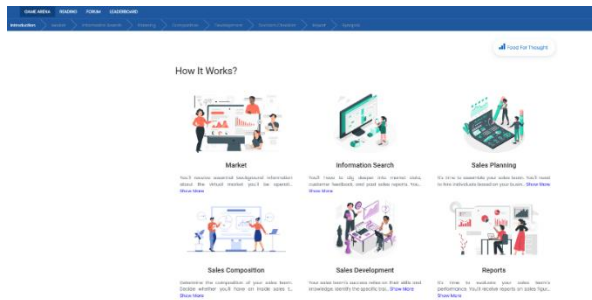
2. Pre- Simulation Preparation

a. Review Background Materials



- Login as participant to explore the platform
- Decision-making guide: Provides detailed explanations of each simulation section and decision point
- Walkthrough video: Offers visual demonstration of the simulation interface and decision process
- Industry overview: Understand the company context and business objectives.

b. Familiarize with the Interface



- Game Arena: Central dashboard providing access to all decision areas
- Readings: Contains essential reference materials and guides
- Forum: Communication platform for participant questions and instructor feedback
- Decision tabs: Structured workflow from market analysis through financial decisions
- Reports: Performance outcomes and decision quality assessment
- Synopsis: Summary of key decisions and outcomes
- Food for Thought: Reflection prompts and strategic considerations

Understanding Decision-Making Process

The simulation follows a logical step-by-step process. Participants should move through each stage to make thoughtful decisions.



Core Algorithm

The simulation operates on a sophisticated algorithm that calculates sales performance based on:

1. **Market Dynamics:** Consumer preferences, channel effectiveness, and product performance
2. **Sales Force Optimization:** Team size, composition, and compensation structure
3. **Development Investments:** Training programs, sales process improvements, and leadership involvement
4. **Performance Outcomes:** Sales by segment/channel, operating profit, and effectiveness metrics

The algorithm utilizes elasticity curves and multiplier effects to determine how decisions in one area impact others:

- **Target Setting Impact:** Realistic targets positively influence motivation; unrealistic targets reduce effectiveness
- **Compensation Elasticity:** Optimal compensation increases performance up to a point, with diminishing returns beyond
- **Team Composition Effects:** Proper alignment of sales roles with channel needs enhances effectiveness
- **Development Multipliers:** Training investments impact sales force effectiveness with segment-specific benefits
- **Recognition Effects:** Appropriate recognition programs enhance motivation and performance

Key Instructor-Only Parameters

1. **Sales Role Effectiveness by Segment** (examples):
 - Sales Representatives: Effectiveness multipliers range from 0.95 to 1.04 across segments
 - Key Account Managers: Most effective with Thinkers (up to 1.06 multiplier)
 - Territory Sales Managers: Most effective with Experiencers (up to 1.06 multiplier)
2. **Sales Style Effectiveness by Segment** (examples):
 - Gung Ho: Most effective with Experiencers (up to 1.05 multiplier)
 - Buddy: Most effective with Hedonistic (up to 1.06 multiplier)
 - Consultative: Most effective with Thinkers (up to 1.025 multiplier)

3. **Development Program Effectiveness by Segment** (examples):

- Value-Based Sales Tactics: Most effective with Hedonistic (1.025 multiplier)
- Trust Sales: Most effective with Thinkers (1.035 multiplier)
- Product Management: Most effective with Experiencers (1.04 multiplier)
- After-Sales Concept: Most effective with Hedonistic (1.035 multiplier)

4. **Sales Process Impacts:**

- Sales Process Innovation: Most effective with Experiencers (1.03 multiplier)
- Process Management: Most effective with Hedonistic (1.03 multiplier)

Teaching with this Information

Instructors can use this back-end knowledge to:

1. Guide Discussions: When participants struggle, provide hints about potential segment-channel-sales force alignments without revealing exact multipliers.
2. Explain Counterintuitive Results: Some participants may make seemingly logical decisions that don't yield expected results due to misalignments in the system (e.g., choosing Gung Ho sales style for Thinkers segment).
3. Emphasize Systems Thinking: Highlight how decisions in different areas interact to produce results that may not be obvious from looking at individual parameters.
4. Facilitate Targeted Debriefs: Focus on specific parameter relationships that most participants misunderstood

Common Participant Challenges

1. Overinvestment in Personnel: Participants often hire too many sales representatives without considering the optimal balance.
2. Misalignment of Sales Styles: Failing to match sales styles with consumer segment preferences.
3. Imbalanced Development Investments: Investing too heavily in some development areas while neglecting others.

4. **Poor Channel Allocation:** Not optimizing the distribution of resources across channels based on potential returns.
5. **Unrealistic Target Setting:** Setting targets that are either too ambitious (demotivating) or too conservative (underperforming).

Instructor Pre-Implementation Checklist for Simulation Delivery

To ensure a smooth and impactful simulation experience for your learners, please review and complete the following preparatory steps:

- **Familiarize Yourself with the Simulation:** Complete a test run of the simulation to understand its structure, decision flow, and pacing. This allows you to better anticipate participant questions and challenges.
- **Review Simulation Mechanics:** Examine the instructor-only backend settings and key variables (e.g., cost structures, demand drivers, elasticity assumptions) to understand how decisions influence outcomes.
- **Align with Course Objectives:** Identify the core concepts from your course that align with the simulation to reinforce key learning goals.
- **Prepare Contextual Examples:** Bring 2–3 real-world examples from relevant industries to illustrate successful and unsuccessful strategic decisions during the debrief.
- **Review Instructor Insights and Scoring:** Familiarize yourself with the instructor account, leaderboard and performance indicators available to instructors. These tools will help guide feedback and encourage reflective learning.
- **Ensure Participant Access;** Confirm that all participants have registered using the right link / code and are able to access the simulation platform before the session begins.
- **Test Technical Readiness:** Coordinate with your IT team (if applicable) to ensure all devices, software, and internet connectivity are ready and compatible with the simulation requirements.

3. Facilitation Roadmap

Pre-Simulation Briefing

Introduction (10-15 minutes):

- Present the case scenario and company background

Summary of the Case: In the Cesim Sales & Target business simulation, participants act as sales strategists in a competitive market. They make key decisions on sales force planning, compensation, team structure, and development to target segments effectively while managing costs. Success depends on analyzing market data, consumer preferences, and channel dynamics to build a strong, data-driven sales strategy. The main goal is to reach an **operating profit of 5,000K or more** while enhancing **sales effectiveness** across all channels.

- Explain the simulation objectives and success criteria
- Outline the decision-making process and workflow
- Clarify expectations regarding time commitment and deadlines

Contextual Guidance (15-20 minutes):

- Discuss the specific industry landscape in India
- Highlight key market trends and consumer preferences
- Introduce competitive dynamics and differentiation opportunities
- Provide initial strategic considerations for success

Technical Orientation (10-15 minutes):

- Demonstrate the simulation interface
- Walk through the decision sequence from market analysis to sales process decisions
- Explain how to interpret reports and feedback
- Address initial questions about navigation and functionality

During Simulation

Monitoring Progress:

- Track participant engagement and decision submission
- Identify common challenges or misconceptions
- Provide targeted guidance for participants who are struggling
- Encourage strategic thinking rather than giving direct answers

Intervention Strategies:

- Light intervention: Post general hints and reminders in the course forum
- Moderate intervention: Provide specific feedback on submitted decisions
- Strong intervention: Schedule individual or group consultation for participants facing significant challenges

Mid-Simulation Guidance:

- Conduct brief check-in sessions to address common questions
- Share anonymous examples of strong strategic approaches
- Highlight interesting decision patterns observed across participants
- Remind participants of upcoming deadlines and critical considerations

Debrief Structure**Performance Analysis:**

- Review operating profit / loss, sales cost and revenue achievements
- Analyze the distribution of results across participants
- Identify patterns in successful versus unsuccessful strategies
- Present key metrics and their relationships to decisions made

Strategic Discussion:

- Explore the rationale behind different approaches
- Discuss the trade-offs between short-term profitability and long-term growth
- Examine how decisions in one area impacted outcomes in others
- Analyze adaptation strategies in response to feedback and results

Learning Integration:

- Connect simulation experiences to theoretical concepts
- Discuss how sales force structure impacts market effectiveness
- Identify transferable insights for participants' professional contexts
- Reflect on decision-making processes and potential improvements

4. Critical Decision Points Analysis

Decision Point 1: Sales Force Planning and Staffing

Key Decision: Determining the optimal number of sales personnel for each channel (Modern Trade, Retail, HORECA) and their background composition (business vs. non-business).

Personnel Costs and Dynamics

Parameter	Value	Impact on Decisions
Hiring Cost	₹15,000 per employee	One-time cost for each new hire
Firing Cost	₹20,000 per employee	One-time penalty for reducing staff
Emergency Workforce Cost	₹40,000 per position	Penalty for insufficient staffing due to attrition
Turnover Factor	0.98	Multiplier affecting retention rates

Optimal Approach:

- Match staffing levels to channel potential and segment preferences
- Consider the previous period's staffing (Modern Trade: 15, Retail: 17, HORECA: 20)
- Analyze attrition rates (company: 5%, market: 4%) to ensure sufficient staffing
- Balance business backgrounds (more analytical) with non-business backgrounds (more relationship-oriented) based on channel characteristics

Common Pitfalls:

- Over-staffing without considering diminishing returns on productivity
- Uniform staffing across channels without considering their distinct requirements
- Ignoring the cost implications of different background mixes
- Failing to account for attrition in staffing decisions

Strategic Staffing Recommendations

Channel	Previous Staffing	Channel Distribution	Optimal Staffing Range	Business Background %	Rationale
Modern Trade	15	34%	16-18	55-65%	Analytical skills needed for major retail chains; serves Easy Living (40%) and Thinkers (30%)
Retail	17	23%	18-20	45-55%	Balanced approach for diverse customer types; serves Experiencers (45%) and Thinkers (40%)
HoReCa	20	43%	21-24	40-50%	Relationship-focused approach for service industry; serves Hedonistic (45%) and Easy Living (30%)

Decision Point 2: Compensation Structure

Key Decision: Setting appropriate compensation levels for each channel and determining bonus percentages for business and non-business background employees.

Optimal Approach

- Set base compensation slightly above market reference points to attract talent and reduce attrition
- Implement a moderate bonus percentage (10-15%) to motivate performance
- Maintain a balanced mix of business/non-business backgrounds (50-60% business)
- Adjust compensation based on channel complexity and performance expectations

Back-End Parameters

- Market Reference Wages (INR/month)
- Modern Trade: Business ₹38,500 / non-business ₹32,400
- Retail: Business ₹36,800 / non-business ₹30,800
- HoReCa: Business ₹42,500 / Non-business ₹28,600

Turnover Effect

- Turnover Factor: 0.98 (multiplier affecting retention)
- Company Attrition Rate: 5%
- Market Attrition Rate: 4.2%
- Upside Effect: 0.97 (multiplier when compensation is above market)
- Downside Effect: 1.1 (multiplier when compensation is below market)

Emergency Workforce Cost

- **Emergency Hiring:** ₹40,000 per insufficient staff position
- Applied when actual staffing falls below minimum requirements due to attrition

Common Pitfalls:

- Setting compensation too low (below market reference), increasing attrition risk and triggering emergency workforce costs
- Implementing excessive bonuses that reduce profit margins without proportional performance gains
- Overvaluing business backgrounds for all channels when some benefit more from relationship skills
- Using uniform compensation across channels, ignoring their unique characteristics and market references

Channel	Background	Market Reference	Recommended Compensation	Optimal Bonus %	Impact on Attrition	Expected ROI
Modern Trade	Business	₹38,500	₹39,500-₹40,500	10-12%	-0.5%	Medium-High
Modern Trade	Non-business	₹32,400	₹33,000-₹34,000	10-12%	-0.7%	Medium
Retail	Business	₹36,800	₹37,500-₹38,500	10-12%	-0.5%	Medium
Retail	Non-business	₹30,800	₹31,500-₹32,500	10-12%	-0.7%	Medium
HORECA	Business	₹42,500	₹43,500-₹44,500	12-15%	-0.6%	High
HORECA	Non-business	₹28,600	₹29,000-₹30,000	12-15%	-0.8%	High

Decision Point 3: Sales Force Composition

Key Decision: Determining the most effective distribution of sales roles (Representatives, Key Account Managers, Territory Sales Managers) and sales styles (Gung Ho, Buddy, Consultative) across each channel to maximize sales performance.

Optimal Approach

Success depends on strategic alignment between roles, styles, and market needs:

- **Channel-Specific Role Distribution:** Each channel requires a different balance of roles based on its structure and customer type. For example, HoReCa may benefit from more Territory Sales Managers (40-45%) to coordinate geographically dispersed accounts.
- **Segment-Style Matching:** Align sales styles with consumer preferences:
 1. Experiencers respond well to Gung Ho's energetic approach
 2. Easy Living consumers connect with Buddy's relationship-building style
 3. Thinkers value the Consultative approach's analytical perspective
 4. Hedonistic customers appreciate a mix of Consultative and Buddy styles
- **Strategic Role Deployment:** Position Key Account Managers (25-35%) where large accounts dominate (Modern Trade), while using more Sales Representatives (25-35%) for channels requiring frequent customer contact.

Common Pitfalls

- **Uniform Distribution:** Applying the same role and style percentages across all channels ignores their unique characteristics
- **Personal Bias:** Selecting sales styles based on personal comfort rather than customer needs
- **Overspecialization:** Relying too heavily on one role type or sales style
- **Mismatched Combinations:** Failing to recognize how roles and styles must work together (e.g., Territory Managers with Consultative styles for complex regional accounts)

Sales Role Effectiveness (Elasticity Curves)

Sales Role	Channel	Segment Effectiveness Multipliers (at 30% allocation)
Sales Representatives		
	Modern Trade	Easy Living: 1.01, Experiencers: 1.005, Hedonistic: 1.008, Thinkers: 1.006
	Retail	Easy Living: 1.01, Experiencers: 1.005, Hedonistic: 1.008, Thinkers: 1.006
	HoReCa	Easy Living: 1.01, Experiencers: 1.005, Hedonistic: 1.008, Thinkers: 1.006

Key Account Managers		
	Modern Trade	Easy Living: 0.99, Experiencers: 0.995, Hedonistic: 1.02, Thinkers: 1.03
	Retail	Easy Living: 0.98, Experiencers: 0.99, Hedonistic: 1.01, Thinkers: 1.02
	HoReCa	Easy Living: 0.95, Experiencers: 0.96, Hedonistic: 1.03, Thinkers: 1.04
Territory Sales Managers		
	Modern Trade	Easy Living: 1.02, Experiencers: 1.03, Hedonistic: 0.99, Thinkers: 0.995
	Retail	Easy Living: 1.01, Experiencers: 1.02, Hedonistic: 0.98, Thinkers: 0.99
	HoReCa	Easy Living: 1.03, Experiencers: 1.04, Hedonistic: 0.99, Thinkers: 0.99

Sales Style Performance Multipliers

Sales Style	Investment Cost (INR)	Segment Effectiveness
Gung Ho		
	Modern Trade	Easy Living: 1.01, Experiencers: 1.02, Hedonistic: 1.005, Thinkers: 1.006
	Retail	Easy Living: 0.99, Experiencers: 1.01, Hedonistic: 0.99, Thinkers: 0.98
	HoReCa	Easy Living: 0.99, Experiencers: 1.005, Hedonistic: 1.005, Thinkers: 0.99
Buddy		
	Modern Trade	Easy Living: 1.01, Experiencers: 0.99, Hedonistic: 1.01, Thinkers: 0.98
	Retail	Easy Living: 1.03, Experiencers: 1.005, Hedonistic: 1.04, Thinkers: 1.006
	HoReCa	Easy Living: 1.01, Experiencers: 0.995, Hedonistic: 1.02, Thinkers: 0.99
Consultative		
	Modern Trade	Easy Living: 0.99, Experiencers: 0.99, Hedonistic: 0.98, Thinkers: 1.01
	Retail	Easy Living: 1.01, Experiencers: 0.995, Hedonistic: 1.01, Thinkers: 1.02
	HoReCa	Easy Living: 1.01, Experiencers: 1.005, Hedonistic: 1.02, Thinkers: 1.03

Optimal Composition Strategy

Channel	Key Segments	Recommended Role Distribution	Recommended Style Distribution	Rationale
Modern Trade	Easy Living (40%), Thinkers (30%)	Reps: 25-30%, KAMs: 25-35%, TSMs: 40-45%	Gung Ho: 30-35%, Buddy: 25-30%, Consultative: 40-45%	KAMs for large chains; TSMs for geographic coordination; Consultative approach for Thinkers
Retail	Experiencers (45%), Thinkers (40%)	Reps: 30-35%, KAMs: 25-35%, TSMs: 35-40%	Gung Ho: 35-40%, Buddy: 35-40%, Consultative: 25-30%	Higher Rep presence for direct consumer interaction; Gung Ho style for innovation-seeking Experiencers
HoReCa	Hedonistic (45%), Easy Living (30%)	Reps: 35-40%, KAMs: 20-25%, TSMs: 35-40%	Gung Ho: 25-30%, Buddy: 30-40%, Consultative: 35-45%	Rep-heavy approach for relationship building; Consultative style for service businesses

Decision Point 4: Leadership Involvement

Key Decision: Determining which areas of the sales process require direct leadership involvement to maximize effectiveness.

Optimal Approach:

- Focus leadership involvement on strategic areas with highest multiplier effects
- Balance hands-on engagement with empowerment of sales team
- Prioritize involvement based on current team capabilities and market challenges
- Consider the complementary effects with sales composition decisions

Common Pitfalls:

- Spreading leadership too thin across all areas
- Focusing only on customer interactions without strategic direction
- Neglecting sales personnel support and development
- Inconsistent involvement creating confusion in the sales organization

Leadership Area	Effectiveness Multiplier	Priority Level	Best Application
Sales Strategy	1.05	Highest	Sets direction and ensures alignment
Involvement in Customers	1.04	High	Critical for key accounts and strategic relationships
Sales and Marketing Integration	1.03	Medium-High	Ensures consistent messaging and approach
Sales Personnel Support	1.02	Medium	Builds capabilities and motivation

Decision Point 5: Sales Development and Training Investments

Key Decision: Selecting targeted development programs and training initiatives that enhance sales capabilities while optimizing investment costs to maximize ROI.

Optimal Approach:

Strategic development investments should align with the sales force composition and target consumer segments. Rather than implementing all programs simultaneously, prioritize those that directly address specific market opportunities:

- **Match programs to segment needs:** Different consumer segments respond to different sales approaches
- **Complement sales styles:** Training should reinforce and enhance the chosen sales styles
- **Prioritize highest-impact combinations:** Select 2-3 high-impact programs rather than diluting investment across all options
- **Balance immediate vs. long-term results:** Some programs deliver quick wins while others build sustainable capabilities

Development Program Effectiveness by Consumer Segment

Development choices	Cost (INR)	Easy Living	Experiencers	Hedonistic	Thinkers
Value-Based Sales Tactics	600,000	1.02	0.99	1.025	1.03
Trust Sales	800,000	1.01	0.99	1.03	1.035
Product Management	900,000	0.99	1.04	0.99	1.02
After-Sales Concept	550,000	1.03	0.99	1.035	0.98
Relationship Skills	650,000	1.025	1.01	1.02	0.97
Key Account Management	720,000	0.99	0.98	0.98	1.03

Sales Training Program Effectiveness

Training Program	Cost (INR)	Easy Living	Experiencers	Hedonistic	Thinkers
Adaptive Selling Style	750,000	0.99	1.015	0.99	1.02
Negotiation Style	850,000	1.025	0.99	1.025	0.98
Closing a Sale	900,000	1.02	1.01	1.03	0.98
Efficient Working Method	800,000	0.98	0.98	1.01	1.025

Sales Process Improvement Options

Process Improvement	Cost (INR)	Easy Living	Experiencers	Hedonistic	Thinkers
Sales Process Innovation	1,000,000	0.98	1.03	0.99	1.02
Process Management	1,200,000	1.02	0.98	1.03	0.99

Strategic Development Combinations

For balanced approach across channels:

1. Value-focused Package: Value-Based Sales + Adaptive Selling + Efficient Working Method
 - Total Investment: 2.15M INR
 - Best for: Mixed channel strategy with cost-conscious consumers
2. Relationship Package: Trust Sales + After-Sales Concept + Relationship Skills
 - Total Investment: 2.0M INR
 - Best for: HoReCa-focused strategy targeting Hedonistic segment
3. Innovation Package: Product Management + Sales Process Innovation + Closing a Sale
 - Total Investment: 2.8M INR
 - Best for: Retail-focused strategy targeting Experiencers

Common Pitfalls:

- Investing in too many programs simultaneously, diluting impact
- Selecting programs based on cost rather than strategic fit
- Misalignment between development programs and sales styles/roles
- Uniform development across channels ignoring their unique needs

5. Understanding Decision Linkages and System Dynamics

Understanding how decisions in one area impact others

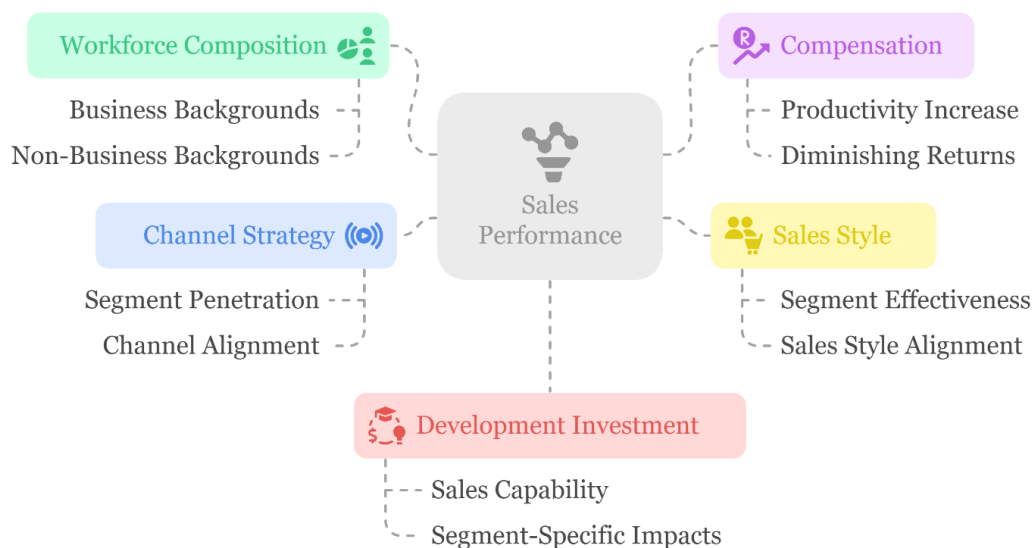
The Sales & Target simulation represents a complex business ecosystem where decisions in one area have cascading effects throughout the sales organization. The following flow chart illustrates these key relationships:

Key system dynamics include:

1. **Workforce Composition → Sales Effectiveness:** The ratio of business to non-business backgrounds directly affects performance with different consumer segments. Business backgrounds typically perform better with Thinkers and Experiencers, while non-business backgrounds connect better with Easy Living and Hedonistic segments.

2. **Compensation → Productivity:** Higher compensation relative to market reference increases productivity but with diminishing returns. The elasticity curve shows productivity gains of up to 9% at 20% above-market wages, but rapidly diminishing returns beyond that point.
3. **Sales Style → Segment Effectiveness:** Each sales style has varying effectiveness with different consumer segments:
 - Gung Ho: 1.01-1.04 multiplier with Experiencers
 - Buddy: 1.01-1.06 multiplier with Easy Living and Hedonistic
 - Consultative: 1.01-1.05 multiplier with Thinkers
4. **Channel Strategy → Segment Penetration:** Channel preferences vary by segment, creating multiplicative effects when properly aligned:
 - Modern Trade: Preferred by Easy Living (40%) and Thinkers (30%)
 - Retail: Preferred by Experiencers (45%) and Thinkers (40%)
 - HORECA: Preferred by Hedonistic (45%) and Easy Living (30%)
5. **Development Investment → Sales Capability:** Training and development programs have segment-specific impacts, with multiplicative effects when aligned with sales styles and segment needs.

Key System Dynamics in Sales Performance



Summary of Core Decision Areas & Key Parameters

Decision Area	Key Parameters	System Impact	Optimization Strategy
Workforce Planning	• Channel staffing levels • Business vs. non-business ratio • Attrition management	Determines sales capacity and segment alignment	Align with channel potential and segment preferences
Compensation Strategy	• Base compensation by channel/background • Bonus percentage • Market reference alignment	Affects productivity, motivation and retention	Balance cost with management performance incentives
Sales Force Structure	• Role distribution across channels • Sales style allocation • Leadership involvement	Defines approach to market segments	Match structures to channel and segment characteristics
Development Investment	• Sales development programs • Training initiatives • Process improvements	Enhances effectiveness and capabilities	Prioritize initiatives with highest segment alignment
Leadership Focus	• Customer involvement • Strategy development • Team support • Sales/marketing integration	Creates force multipliers for team effectiveness	Concentrate on highest-leverage activities

6. Performance Analysis Framework

Key Performance Indicators (KPI)

The Sales & Target simulation provides a comprehensive set of KPIs that help participants evaluate their strategic decisions and their impact on overall business performance. Understanding these metrics is essential for making data-driven decisions and optimizing sales force effectiveness.

Primary KPIs

1. Operating Profit/Loss: This is the primary performance metric that represents the bottom-line result of all sales decisions.

- Operating Profit is calculated as Revenue minus Variable Cost minus Sales & Channel Cost.

It reflects how effectively participants have balanced revenue generation with cost management across all decision areas. Higher operating profit indicates more efficient resource allocation and effective sales strategies.

2. Sales Cost: This metric provides a detailed breakdown of all expenses related to the sales operation. It includes:

- Wages Cost: Total compensation paid to sales personnel
- Hiring/Retrenchment Cost: Expenses related to recruiting new staff or reducing workforce
- Recognition Cost: Expenses for employee recognition programs
- Sales Development Cost: Investment in sales capability development programs
- Sales Training Cost: Expenses for specific sales training initiatives
- Sales Process Cost: Investment in process improvements

The total Sales Cost is a critical factor in determining Operating Profit and reflects the efficiency of resource allocation decisions.

3. Revenue: This represents the total sales generated across all channels, segments, and products. Revenue is directly influenced by:

- Personnel allocation decisions across channels
- Sales force composition and sales styles
- Development and training investments
- Leadership involvement choices

Sales Performance Metrics

1. Channel Sales: The Channel Sales table provides detailed insight into the performance of each distribution channel (Modern Trade, Retail, and HORECA) compared to the initial sales projections. This allows participants to:

- Evaluate how accurately they projected sales potential
- Identify which channels are over or underperforming
- Assess the effectiveness of channel-specific strategies
- Determine if resource allocation across channels is optimal

2. Segment Wise Sales: This table breaks down sales by consumer segment (Easy Living, Experiencers, Hedonistic, and Thinkers), allowing participants to:

- Identify which segments are contributing most to overall revenue
- Evaluate the effectiveness of segment-targeting strategies
- Assess alignment between sales approaches and segment preferences
- Identify opportunities for better segment penetration

3. Product Wise Sales: This table presents sales performance across the four products (Coffino, Nutty, Fruitful, and Diblo), enabling participants to:

- Evaluate product portfolio performance
- Identify strongest and weakest products
- Assess alignment between sales approaches and product characteristics
- Recognize opportunities for better product-segment matching

The accompanying bar chart shows product segment share across consumer segments, highlighting which products resonate best with each segment.

Financial Performance Metrics

4. Income Statement: The Income Statement provides a comprehensive financial overview, including:

- Revenue: Total sales across all channels
- Variable Cost: Costs that vary directly with sales volume
- Gross Profit: Revenue minus Variable Cost
- Sales & Channel Cost: Total expenses related to sales operations
- Operating Profit/Loss: The bottom-line result after all costs

This statement helps participants understand the financial impact of their decisions and identify areas for improvement in cost-effectiveness or revenue generation.

5. Channel Effectiveness: This metric provides a percentage measure of how efficiently each channel converts its resources into sales. It considers:

- Personnel allocation and utilization
- Sales force composition effectiveness
- Sales style appropriateness
- Development and training impact

Comprehensive KPI Interpretation Table

Metric	Description	Target Range	Strategic Impact
Operating Profit/Loss	Bottom-line financial result after accounting for all revenue and costs	5,000K	Primary measure of overall strategy effectiveness; balances revenue generation with cost management
Revenue	Total sales generated across all channels, segments, and products	45,000- 50,000k INR	Indicates market penetration and sales force effectiveness; higher revenue generally leads to higher profit potential
Variable Cost	Costs that directly vary with sales volume	30-35% of Revenue	Reflects product mix efficiency; lower percentage indicates selling more high-margin products
Gross Profit	Revenue minus Variable Cost	65-70% of Revenue	Indicates effectiveness of product portfolio management; higher percentage suggests better product mix
Sales & Channel Cost	Total expenses related to sales operations	50-60% of Revenue	Reflects sales force efficiency; lower percentage indicates

			more cost-effective sales operations
Wages Cost	Total compensation paid to sales personnel	28,000k-32,000k	Major cost component; indicates balance between competitive compensation and cost control
Hiring/Retrenchment Cost	Expenses related to recruiting or reducing workforce	Under 200k	One-time costs that impact short-term profit but can improve long-term performance
Recognition Cost	Expenses for employee recognition programs	400k-600k	Investment in employee motivation that can improve performance and retention
Sales Development Cost	Investment in sales capability programs	1,000k-1,500k	Long-term investment in capabilities that enhance sales effectiveness
Sales Training Cost	Expenses for specific sales training initiatives	700k-900k	Targeted skill development that addresses specific performance gaps
Sales Process Cost	Investment in process improvements	800k-1,200k	Enhances operational efficiency and customer experience
Channel Sales	Sales generated through each distribution channel	Within 10% of projections	Indicates accuracy of sales forecasting and channel strategy effectiveness
Segment Sales	Sales to each consumer segment	Align with market share	Reflects effectiveness of segment targeting and approach alignment

Product Wise Sales	Sales of individual products	Balanced across portfolio	Reflects effectiveness of segment targeting and approach alignment
Channel Effectiveness	Efficiency of resource utilization in each channel	50%+ for each channel	Measures how well resources are converting to sales in each channel

7. Theoretical Connections by Simulation Section

Comprehensive Table on Theoretical Connections

Section	Simulation Area	Theory	Summary
Market Analysis	Information Search	Market Segmentation Theory	The simulation applies psychographic segmentation principles (Easy Living, Experiencers, Hedonistic, Thinkers) to represent distinct consumer groups with unique preferences and behaviors.
Sales Planning	Workforce Planning	Resource-Based View	Decisions about staffing levels and composition reflect how firms build competitive advantage through unique combinations of human resources and capabilities.
	Compensation	Expectancy Theory	The bonus structure and compensation decisions illustrate how expectations, instrumentality, and valence affect motivation and performance.
Sales Composition	Role Distribution	Organizational Design Theory	The allocation of roles (Sales Representatives, Key Account Managers, Territory Managers) demonstrates how structural choices affect market coverage and effectiveness.
	Sales Styles	Adaptive Selling Theory	The selection of sales approaches (Gung Ho, Buddy, Consultative) illustrates how adapting selling

			behaviors to customer types improves sales performance.
Sales Development	Training Programs	Human Capital Theory	Investments in sales training and development represent how firms enhance their capabilities through knowledge and skill acquisition.
	Sales Process	Business Process Management	Process innovation and management decisions demonstrate how optimizing workflows enhances organizational effectiveness.
Leadership	Involvement Areas	Situational Leadership Theory	Decisions about leadership focus areas illustrate how effective leaders adapt their approach based on team needs and business requirements.
Channel Strategy	Channel Selection	Distribution Channel Theory	The management of multiple channels (Modern Trade, Retail, HORECA) demonstrates how channel characteristics affect market reach and segment access.
Performance Management	KPI Analysis	Balanced Scorecard Approach	The multi-dimensional performance measurement system (profit, effectiveness, penetration) illustrates a comprehensive performance evaluation.

Critical Teaching Points

1. Integration of Sales Strategy with Market Segmentation

- The simulation demonstrates how effective sales strategies must be built on deep understanding of consumer segments
- Different segments require tailored approaches, making one-size-fits-all strategies suboptimal
- Sales force composition decisions should reflect segment priorities and characteristics

2. Balancing Structure and Adaptability in Sales Organizations

- The optimal sales organization combines consistent structure with adaptability to market conditions
- Channel-specific approaches yield better results than uniform strategies
- Leadership involvement should vary based on organizational needs and market dynamics

3. Human Capital Development as a Strategic Investment

- Training and development programs generate returns through enhanced effectiveness
- The alignment of development investments with sales approaches multiplies their impact
- Sequential capability building creates compounding effects over time

4. Quantitative Decision-Making in Sales Management

- Data-driven approaches to sales force sizing and allocation outperform intuitive methods
- Understanding elasticity relationships helps optimize resource allocation
- Performance metrics should combine financial outcomes with process effectiveness measures

5. Cross-Functional Integration for Market Success

- Sales effectiveness depends on alignment with marketing, product management, and HR
- Leadership involvement in integration activities creates organizational synergies
- Holistic approaches to channel management yield better results than siloed strategies

8. Sample Optimal Solution

It is essential to acknowledge that numerous combinations can lead participants to achieve the desired outcomes, and the provided solution serves as a reference for faculty and is not intended to be shared directly with participants.

Please Note: The solution below is for the default Cesim Case.

Decision Area	Parameter	Optimal Value	Rationale
Sales Planning			
Sales Targets	Modern Trade	16,000K INR	Aligned with channel distribution and segment preferences
	Retail	10,000K INR	Reflects smaller channel size but important segments
	HoReCa	18,000K INR	Largest channel with premium segment appeal
Staffing	Modern Trade	17	Sufficient coverage without overstaffing
	Retail	19	Higher staffing to serve diverse customer base
	HoReCa	23	Highest staffing for largest channel with relationship focus
Compensation			
Base Compensation	Modern Trade Business	36,500 INR	5% above market reference
	Modern Trade Non-business	32,000 INR	Competitive but cost-efficient
	Retail Business	33,500 INR	Aligned with channel requirements
	Retail non-business	30,000 INR	Balanced approach
	HoReCa Business	39,500 INR	Premium for complexity
	HoReCa non-business	27,500 INR	Cost management
Bonus Structure	Business background	10%	Moderate incentive
	Non-business background	10%	Consistent approach
Background Mix	Modern Trade	60% Business	Higher need for business acumen
	Retail	50% Business	Balanced skill set

	HoReCa	50% Business	Relationship focus balanced with business knowledge
Sales Composition			
Sales Representatives	Modern Trade	25%	Front-line coverage
	Retail	30%	Higher customer interaction
	HoReCa	35%	Direct relationship building
Key Account Managers	Modern Trade	30%	Strategic account focus
	Retail	30%	Chain store relationships
	HoReCa	25%	Key venue management
Territory Sales Managers	Modern Trade	45%	Geographic coordination
	Retail	40%	Regional market knowledge
	HoReCa	40%	Territory-based approach
Sales Styles	MT Gung Ho	30%	Innovation-receptive segments
	MT Buddy	25%	Relationship building
	MT Consultative	45%	Analytical approach for Thinkers
	Retail Gung Ho	35%	High energy for Experiencers
	Retail Buddy	35%	Personal connections
	Retail Consultative	30%	Solution-based selling
	HoReCa Gung Ho	30%	Dynamic approach
	HoReCa Buddy	35%	Relationship focus
	HoReCa Consultative	35%	Value-added selling
Leadership & Recognition			
Leadership Focus	Sales Strategy	Selected	Strategic direction most critical
	Sales Personnel Support	Selected	Team capability development

	Best Team Effort	Selected	Promotes collaboration
Development			
Sales Development	Value-Based Sales	Selected	Appeals to Easy Living and Thinkers
	Relationship Skills	Selected	Builds long-term relationships
	Key Account Management	Selected	Supports strategic account focus
Sales Training	Adaptive Selling Style	Selected	Flexibility across segments
Sales Process	Sales Process Innovation	Selected	Aligns with Experiencers' preferences

Decision Making Rationale

This optimal solution is built on five strategic principles:

1. Channel-Segment Alignment

The staffing and investment decisions strategically align with channel distribution (Modern Trade: 34%, Retail: 23%, HoReCa: 43%) and segment preferences. The approach places more resources in HoReCa to capitalize on its larger market share and higher margins, while ensuring sufficient coverage in Modern Trade for Easy Living and Thinkers segments.

2. Compensation Optimization

- The compensation strategy balances cost control with performance motivation:
- Base compensation is set 5-10% above market reference to reduce attrition
- Moderate 10% bonus strikes the optimal balance between motivation and cost
- Business background percentages are tailored to channel needs (higher in Modern Trade)

3. Role-Style Integration

The sales force composition creates strategic synergies:

- Higher Territory Sales Manager percentages in Modern Trade coordinate geographically dispersed outlets
- More Sales Representatives in HoReCa build direct relationships
- Key Account Managers are balanced across channels to manage strategic accounts
- Sales styles are matched to segment preferences (Consultative for Thinkers, Gung Ho for Experiencers, Buddy for Hedonistic)

4. Focused Development

Rather than spreading investments thinly, development is concentrated on three high-impact areas:

- Value-Based Sales Tactics (600K INR) enhances effectiveness with Easy Living and Thinkers
- Relationship Skills (650K INR) strengthens the Buddy approach for Hedonistic consumers
- Key Account Management (720K INR) improves strategic account handling

5. Strategic Leadership

Leadership involvement focuses on:

- Sales Strategy to provide clear direction and priorities
- Sales Personnel Support to enhance team capabilities and motivation

This approach yields an operating profit of approximately 1.52-1.60M INR with channel effectiveness percentages of 26-28%, representing an optimal balance between revenue generation and cost management.

9. Common Pitfalls and Teaching Interventions

Pitfall 1: Uniform Staffing and Compensation Across Channels

Symptoms:

- Equal distribution of personnel across all channels
- Identical compensation structures regardless of channel characteristics
- Below-market compensation leading to high attrition

Intervention:

- Highlight channel-specific data showing different performance characteristics
- Discuss how market reference wages vary by channel
- Ask participants to analyze elasticity curves showing different optimal staffing levels
- Encourage recalculation of expected returns by channel

Pitfall 2: Misalignment Between Sales Styles and Consumer Segments

Symptoms:

- One-size-fits-all sales style allocation
- Inconsistency between chosen styles and target segments
- Poor segment-wise sales despite adequate staffing

Intervention:

- Direct participants to consumer preference data showing segment-style affinities
- Facilitate analysis of which segments dominate in each channel
- Demonstrate the calculation of weighted effectiveness based on style-segment matching
- Suggest incremental adjustments to test style impact

Pitfall 3: Overinvestment in Development Without Strategic Focus**Symptoms:**

- Investing in all development options simultaneously
- Development choices misaligned with sales team composition
- High development costs without corresponding performance improvement

Intervention:

- Calculate ROI for each development investment
- Analyze which programs best complement the chosen sales approach
- Demonstrate how focused investment in fewer, well-aligned programs yields better results
- Encourage experimentation with different investment combinations

Pitfall 4: Neglecting the Impact of Leadership Involvement**Symptoms:**

- Random selection of leadership focus areas
- Disconnect between leadership focus and sales strategy
- Underperformance despite strong staffing and compensation

Intervention:

- Review elasticity multipliers for leadership involvement options
- Discuss how leadership focus amplifies effectiveness in specific areas
- Analyze which areas of leadership involvement complement the chosen strategy
- Highlight the system dynamics connecting leadership, team performance, and results

Pitfall 5: Suboptimal Balance Between Business and Non-Business Backgrounds**Symptoms:**

- Extreme allocations (all business or all non-business backgrounds)
- Misalignment between background mix and target segments
- Poor performance despite adequate staffing and compensation

Intervention:

- Analyze segment preferences regarding background expertise
- Calculate the weighted effectiveness of different background mixes
- Demonstrate how balanced teams can address diverse segment needs
- Encourage testing of different background percentages.

10. Instructor Tips and Insights

Classroom Exercises and Extensions

- **Decision Linkage Mapping:** Have participants draw connections between their decisions to visualize interdependencies
- **Channel Deep Dive:** Assign groups to analyze one specific channel (Modern Trade, Retail, or HORECA) and present optimal strategies with supporting data
- **Multi-Round Evolution:** Track how strategies evolve over multiple rounds as participants learn from results
- **Real-World Connection:** Ask participants to relate simulation insights to sales challenges in their organizations

Suggested Discussion Starters

1. How did you balance the immediate costs of higher compensation against its potential long-term benefits in terms of retention and performance?
2. Which consumer segment did you find most challenging to serve effectively, and how did this influence sales force composition decisions?
3. In what ways did you tailor the sales approach differently across the three channels, and what results did you observe?
4. What surprised the most about the relationship between development investments and their impact on performance?
5. How did you determine which leadership involvement areas to prioritize, and what impact did you observe on the results?
6. What tensions or trade-offs did you experience between allocating resources for immediate sales performance versus building long-term capabilities?
7. How did the understanding of the simulation's dynamics evolve from initial approach to the final strategy?
8. What parallels do you see between the strategic decisions in this simulation and real-world sales management challenges you've encountered?

9. How did you use the data available in the Information Search section to inform decision-making process?
10. What was the approach to balancing business versus non-business backgrounds across different channels, and what informed this decision?

FAQs

General Microsimulation Questions:

Q: How is the final score calculated?

A: The performance is evaluated based on three primary key metrics: Operating Profit/Loss (target $\geq 5,000K$ INR), Sales Cost, and Revenue. The leaderboard ranking is determined primarily by operating profit while significantly improving overall sales effectiveness across all channels.

Q: How many rounds will we play in this Micro simulation?

A: The simulation typically consists of multiple rounds with maximum of 10 rounds, allowing to refine the strategy based on previous results. The instructors will specify the exact number of rounds for the course.

Q: Can I change my decisions after submission?

A: No, once decisions are submitted for a round, they cannot be altered. This design element emphasizes careful planning and thorough consideration before finalizing decisions.

Q: What is the purpose of the Food for Thought section? Does it impact KPI calculation?

A: The **Food for Thought** section helps participants develop strategic direction but does **not** affect **KPI calculation**. It's not a quiz, but a reflective exercise. The **Report** section rates the attempt based on **Rigor, Structuring, Synthesis, and Business Judgment** to assess analytical thinking.

Strategy Questions:

Q: What's the most important factor to consider when allocating my sales force across channels?

A: Channel potential, consumer segment preferences, and product margins should all factor into the decision. Analyze which channels serve the highest-margin segments and allocate resources accordingly, while considering the unique staffing needs of each channel.

Q: How should I balance investment between compensation and development programs?

A: Compensation directly affects motivation and retention, while development enhances capabilities. The optimal balance depends on the current performance gaps - if attrition is high, prioritize competitive compensation; if the team is stable but underperforming, development investments may yield better returns.

Q: What role does pricing play in the simulation?

A: While product prices are fixed in the simulation, participants should consider price points when determining sales approaches, as they influence segment appeal and margin potential.

Technical Questions:

Q: Does having more sales personnel always lead to better results?

A: No. Each channel has an optimal staffing level beyond which the participants will experience diminishing returns. The simulation uses elasticity curves where overstaffing increases costs without proportional sales gains. Focus on finding the efficient frontier for each channel.

Q: How do I determine the right mix of sales roles for each channel?

A: Consider channel characteristics: Modern Trade benefits from more Territory Sales Managers to coordinate distributed outlets; HORECA may need more Sales Representatives for direct customer contact; Retail often requires a balance. Match roles to how each channel serves its dominant consumer segments.

Q: How is channel effectiveness calculated in the simulation?

A: Channel effectiveness is measured as the ratio of channel revenue to channel costs, expressed as a percentage. It reflects how efficiently the sales resources are converted into sales results within each channel.

Q: What factors influence attrition rates in the simulation?

A: Attrition is primarily influenced by compensation relative to market reference wages, recognition investments, and leadership involvement in sales personnel support. The base company attrition rate is 5% compared to the market rate of 4.2%.

Conceptual Questions:

Q: How do different sales styles impact different consumer segments?

A: Each segment responds differently to sales approaches: Easy Living consumers prefer relationship-oriented (Buddy) styles; Experiencers respond to energetic (Gung Ho) approaches;

Hedonistic consumers value personalized experiences; Thinkers appreciate consultative, information-rich interactions.

Q: What's the relationship between leadership involvement choices and sales performance?

A: Leadership involvement acts as a performance multiplier in specific areas. For example, leadership focus on sales strategy (elasticity 1.05) amplifies team effectiveness in strategic execution, while customer involvement (elasticity 1.04) enhances customer relationship outcomes

Q: How does the simulation connect to broader marketing strategy?

A: The simulation assumes a defined product portfolio and pricing strategy, focusing on the execution through sales channels. In practice, sales strategy would need to align with broader marketing decisions about product development, pricing, and promotion.

Conclusion

The Sales & Target simulation provides a rich learning environment for understanding the strategic decisions involved in sales force management. Through experiential learning, participants develop insights into the complex interrelationships between sales force structure, compensation, development, and market outcomes.

The Sales & Target simulation reinforces several core principles of effective sales management:

1. Strategic sales leadership requires deliberate alignment between team structure, compensation, and development investments to maximize channel effectiveness and profitability.
2. Data-driven decision-making enables leaders to optimize resource allocation across channels and tailor sales approaches to distinct consumer segments.
3. Sustainable sales performance stems from balancing immediate tactical execution with strategic capability development, creating a resilient sales organization.

By experiencing these dynamics firsthand, participants develop practical skills in sales force optimization, channel management, and performance analysis that translate directly to real-world sales leadership challenges.